EXECUTIVE RISK REVIEW

LuxCap Alternatives S.A. — Portfolio Case Study

Prepared by	Joy Lorna, Financial Risk Analyst	Assessment date	11 August 2026
Scope	Enterprise risk register and residual-risk prioritisation	**Reference**	RCN-2026-001
Status	Final portfolio version	**Classification**	Portfolio Demonstration

Purpose: *Demonstrate a risk-based review of a fictional Luxembourg AIFM using a reconciled 30-risk register, documented scoring methodology, governance evidence and prioritised management actions.*

1. EXECUTIVE SUMMARY

This review assesses LuxCap Alternatives S.A.'s enterprise risk register as at 11 August 2026. The analysis covers 30 risks across credit, market, liquidity and operational risk, with related compliance, governance, ESG, cyber and business-continuity themes. Inherent and residual exposure are assessed on a 5×5 likelihood–impact matrix; control ratings reflect documented design and operating evidence, and judgement-based adjustments are applied only where evidence supports them.

The reconciled residual profile comprises **4 Critical, 4 High, 17 Moderate and 5 Low risks**. Control effectiveness comprises 2 Strong, 23 Adequate and 5 Weak ratings. The maximum residual score is 20/25. Liquidity mismatch (R007) and illiquid-asset valuation error (R010) are the joint-highest exposures at 20/25, while equity market downturn (R005) and business continuity plan failure (R028) are also Critical at 15/25.

Management attention should focus first on liquidity capacity, valuation independence and operational resilience. The five Weak controls are all attached to Critical or High residual risks, demonstrating a clear control-strengthening priority. This portfolio case study shows how a mid-level risk analyst would separate evidence, judgement, escalation and remediation without presenting internal scoring thresholds as regulatory rules.

2. RISK LANDSCAPE OVERVIEW

LuxCap is a fictional Luxembourg AIFM managing EUR 1.2 billion across two sub-funds, with an illustrative 50% European listed-equity and 50% private-credit/CLO strategy mix. Listed exposures can be hedged and traded under normal conditions, whereas private-credit and CLO positions introduce longer liquidation horizons, valuation uncertainty, credit migration and asset–liability liquidity risk. This asymmetry explains why the highest residual exposures arise from the interaction of portfolio structure and control capability rather than from market volatility alone.

Zone	Score	Count	Illustrative internal response
Critical	15–25	4	Prompt senior-management escalation, interim risk reduction and at least monthly monitoring; initial action targeted within 30 days.
High	10–14	4	Named owner, dated plan and monthly monitoring; indicative action target within 60 days.
Moderate	5–9	17	Maintain controls and track enhancements through the normal risk cycle; review at least quarterly.
Low	1–4	5	Accept within delegated authority and monitor through periodic assurance.

All five Weak controls sit in the Critical or High zones: R007, R010 and R028 are Critical; R014 and R017 are High. The principal governance challenge is therefore the strength and evidencing of controls over liquidity, valuation, continuity, service-provider concentration and key-person dependency. Residual zone and remediation priority are related but distinct: the zone reflects score severity, while the priority reflects the workbook's management judgement.

3. TOP FIVE RESIDUAL RISKS — ANALYSIS

Risk 1 — R007: Liquidity Mismatch (Residual Score: 20 / Critical; joint highest)

Regulatory context: AIFMD Article 16; Articles 47–49 of Commission Delegated Regulation (EU) No 231/2013; ESMA Guidelines on liquidity stress testing in UCITS and AIFs (ESMA34-39-897).

The private-credit sub-fund combines illiquid assets with a 90-day redemption notice period. The current control is Weak: liquidity reporting is quarterly, gate provisions exist in constitutional documents, but operational trigger thresholds are not codified, and no committed credit facility or repo line is available. Residual likelihood is 4 and impact is 5, giving a residual score of 20/25. This reflects a documented methodology exception: despite the overall Weak control rating, the contractual 90-day notice period reduces the frequency of an immediate liquidity mismatch by one likelihood step, while impact remains 5. A severe but plausible redemption shock could still result in gating, distressed disposals or NAV suspension.

Risk response: Immediate. Run weekly reverse and scenario-based liquidity stress tests, define escalation triggers linked to available liquid assets and redemption terms, assess the cost and feasibility of a committed backstop, and document an investor-communication protocol. Any financing facility should supplement, not replace, sound asset–liability management.

Risk 2 — R010: Valuation Error — Illiquid Assets (Residual Score: 20 / Critical)

Regulatory context: AIFMD Article 19; relevant valuation provisions of Commission Delegated Regulation (EU) No 231/2013; CSSF Circular 18/698 governance and control expectations.

Valuation of private-credit loans and CLO tranches relies on quarterly external work by an illustrative third-party adviser and internal models between cycles, with limited independent price sources for lower-rated tranches. The Weak rating reflects insufficient independent coverage, challenge evidence and governance discipline for the exposure, increasing the risk of misstated NAV, mispriced investor transactions and inaccurate reporting.

Risk response: Immediate. Define a risk-based independent-validation scope for the most material or judgement-sensitive positions, formalise valuation-committee quorum, challenge, escalation and minutes, and maintain documented model-validation and price-verification evidence. Monthly external review of the top 20 positions is an illustrative management action, not a regulatory minimum.

Risk 3 — R005: Equity Market Downturn — Systemic Shock (Residual Score: 15 / Critical)

Regulatory context: AIFMD Article 15; Commission Delegated Regulation (EU) No 231/2013 risk-management requirements.

Dynamic index hedges and an 8% drawdown trigger support the listed-equity sleeve, but the Adequate control does not eliminate severe impact. The main vulnerability is the combined execution, basis, collateral and liquidity risk of the hedge programme during a rapid market dislocation.

Risk response: High priority. Set approved hedge-capacity and collateral-liquidity limits, test joint equity, volatility and margin-call shocks, define trigger governance and evidence monthly review of hedge effectiveness.

Risk 4 — R028: Business Continuity Plan Failure (Residual Score: 15 / Critical)

Regulatory context: AIFMD Article 18; CSSF Circular 18/698 organisational and internal-control expectations; applicable digital operational-resilience requirements should be assessed separately.

The BCP is documented but was last tested 18 months ago. Recovery time and recovery point objectives are not fully defined for all critical processes, and third-party participation has been limited. The Weak control leaves material uncertainty over the restoration of trading, NAV and investor-servicing processes.

Risk response: Immediate. Complete an end-to-end exercise covering the administrator, depositary, transfer agent and critical technology dependencies; approve RTOs and RPOs; record issues, owners and due dates; and retest material findings. Annual testing is a minimum internal cadence, with frequency increased after material change or failure.

Risk 5 — R001: Counterparty Credit Default — Private-Credit Borrowers (Residual Score: 12 / High; joint fifth)

Regulatory context: AIFMD Article 15; Commission Delegated Regulation (EU) No 231/2013 risk-management requirements.

R001 is one of four risks tied at 12/25 in the High zone. It is included because borrower default is central to the private-credit strategy and can directly impair NAV. Credit approval, periodic review, watchlist monitoring and obligor limits are Adequate, but quarterly credit-committee review may be too slow for deteriorating sub-investment-grade borrowers. Residual likelihood is 3 and impact is 4.

Risk response: High priority. Tighten the single-obligor limit below 5% of NAV, implement automated breaches and early-warning indicators, move higher-risk borrower review to monthly and define escalation to the CRO and investment committee.

4. KEY CONTROL GAPS — SUMMARY

Gap area	Specific gap	Primary regulatory context
Liquidity	Quarterly stress testing; no operational trigger framework; no committed liquidity backstop assessment.	AIFMD Article 16; Delegated Regulation (EU) No 231/2013; ESMA34-39-897
Valuation	Insufficient independent price challenge and incomplete evidence of valuation governance.	AIFMD Article 19; Delegated Regulation (EU) No 231/2013; CSSF Circular 18/698
BCP / resilience	No end-to-end test for 18 months; incomplete RTO/RPO coverage; limited critical-provider participation.	AIFMD Article 18; CSSF Circular 18/698
Counterparty concentration	Single-provider dependency and no tested alternative operating arrangement.	AIFMD Article 21; CSSF Circular 18/698
Key-person dependency	Informal succession coverage and incomplete procedures for critical processes.	AIFMD Article 18; CSSF Circular 18/698

5. GOVERNANCE AND CONTROL OVERSIGHT

Since the original risk assessment, governance documentation has been enhanced through the introduction of an illustrative Risk Appetite Statement, Control Testing Log, Management Action Tracker, KRI Dashboard and Emerging Risks Register. The workbook now records 15 control tests, 8 open findings, 12 open actions, 1 overdue action and no completed actions as at 26 August 2026. These structures improve traceability, ownership, escalation discipline and management oversight. They do not alter the underlying residual-risk profile, but strengthen the environment used to monitor and remediate identified risks.

Illustrative management targets following successful remediation and control validation.

Risk	Current Residual	Target Residual
R007	20	12
R010	20	12
R005	15	10
R028	15	9

6. PRIORITISED MANAGEMENT ACTION PLAN

Risk	Prioritised management action	Owner	Workbook status / timing
R007	Implement weekly liquidity stress testing; secure a committed credit facility or repo line; codify gate triggers and investor communications.	Head of Fund Operations	ACT-001 In Progress; ACT-002 Open; immediate / ≤30 days
R010	Engage independent valuers for the top 20 illiquid positions monthly; strengthen valuation-committee documentation and formalise policy.	Valuation Lead	ACT-003 In Progress; immediate / ≤30 days
R028	Run a full BCP simulation with critical third parties; define RTOs/RPOs; track and close findings.	Head of Operations	ACT-004 In Progress and overdue; ≤30-day test / ≤60-day closure

R005	Test collateral impact of hedges under illiquidity; formalise hedge-capacity constraints and increase review frequency.	Head of Portfolio	ACT-007 Open; ≤60 days
R014	Identify and onboard an alternative custodian and operationally test the contingency arrangement.	CFO	ACT-005 Open; medium priority
R017	Formalise succession and backup designations; complete documented procedures and handover testing.	Head of HR	ACT-006 In Progress; medium priority

7. VALIDATION, ASSUMPTIONS AND LIMITATIONS

Validation performed. The updated workbook contains 30 unique risk IDs; residual scores reconcile to the 5×5 heat map and executive ranking; the distribution is 4 Critical, 4 High, 17 Moderate and 5 Low; control ratings total 2 Strong, 23 Adequate and 5 Weak; and the maximum residual score is 20/25. R007 remains at 20/25 under the documented methodology exception: the contractual 90-day redemption notice period reduces residual likelihood from 5 to 4, while residual impact remains 5. R007 and R010 are therefore joint-highest at 20/25. R021 and R030 were also checked: each remains Low at 4/25 and neither affects the top five analysis or control-gap table.

Key assumptions. Likelihood and impact are ordinal, forward-looking judgements for a fictional EUR 1.2 billion AIFM. Monetary bands, zone thresholds and action timelines are internal case-study parameters, not regulatory limits. Residual ratings assume controls operate as described; where independent evidence is incomplete, the assessment should be treated as provisional.

Regulatory boundary. The analysis is informed principally by AIFMD, Commission Delegated Regulation (EU) No 231/2013, the Luxembourg Law of 12 July 2013, CSSF Circular 18/698 and ESMA34-39-897. CSSF Circular 12/552 is not used as a primary AIFM requirement because its current scope is credit institutions and certain lending professionals. The document is not legal, regulatory, valuation or investment advice.

8. CONCLUSION

The review identifies a credible and internally consistent risk hierarchy. Liquidity mismatch and illiquid-asset valuation remain the joint-highest residual exposures at 20/25, while business continuity and equity-market stress also require senior attention. The governance additions now provide clearer evidence of testing, ownership, escalation and action tracking; however, the current residual ratings remain unchanged until remediation is completed and independently validated.

The next analytical step in a live environment would be to obtain current operating evidence, challenge first-line assumptions, agree residual-risk acceptance and target ratings, and monitor action closure against defined evidence standards. This approach demonstrates the judgement, traceability and regulatory awareness expected of a mid-level financial risk analyst in a European asset-management setting.

Portfolio Demonstration | Fictional Luxembourg AIFM | Final version

Portfolio Case Study Limitation Statement

This report is an educational portfolio case study based on a fictional Luxembourg AIFM. Risk scores, loss assumptions, escalation targets and governance arrangements are illustrative and intended to demonstrate risk-management concepts. The report does not evidence regulatory compliance, supervisory approval, or operational implementation within a regulated institution.